

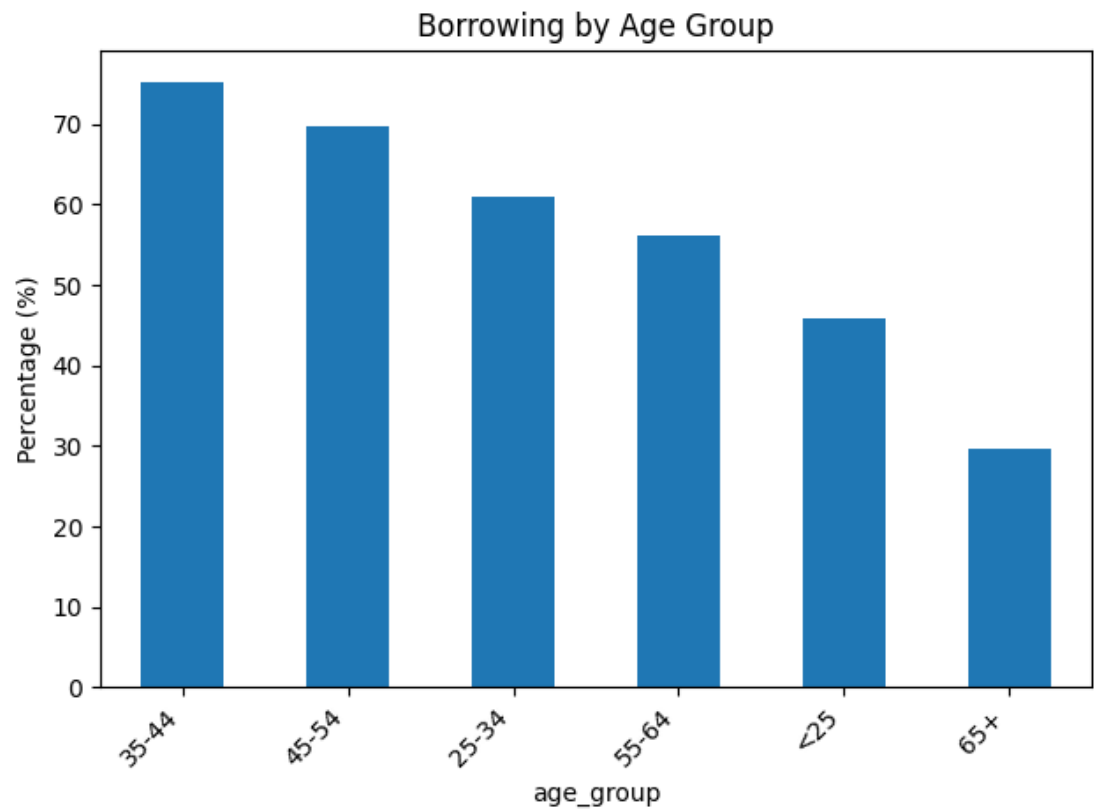
This Borrowing Behavior Analysis Report synthesizes the data from the provided charts and statistical summaries for Sri Lanka (2025). The data reveals a high-engagement credit market dominated by informal lending and non-consumption investment.

1. Executive Summary

The overall borrowing rate in the population is **54.2%**. While credit access is relatively uniform across genders, there are significant disparities based on age, income level, and preferred credit sources. Notably, informal lenders are the primary source of credit, outperforming formal banking institutions by nearly a 3:1 ratio.

2. Demographic Analysis

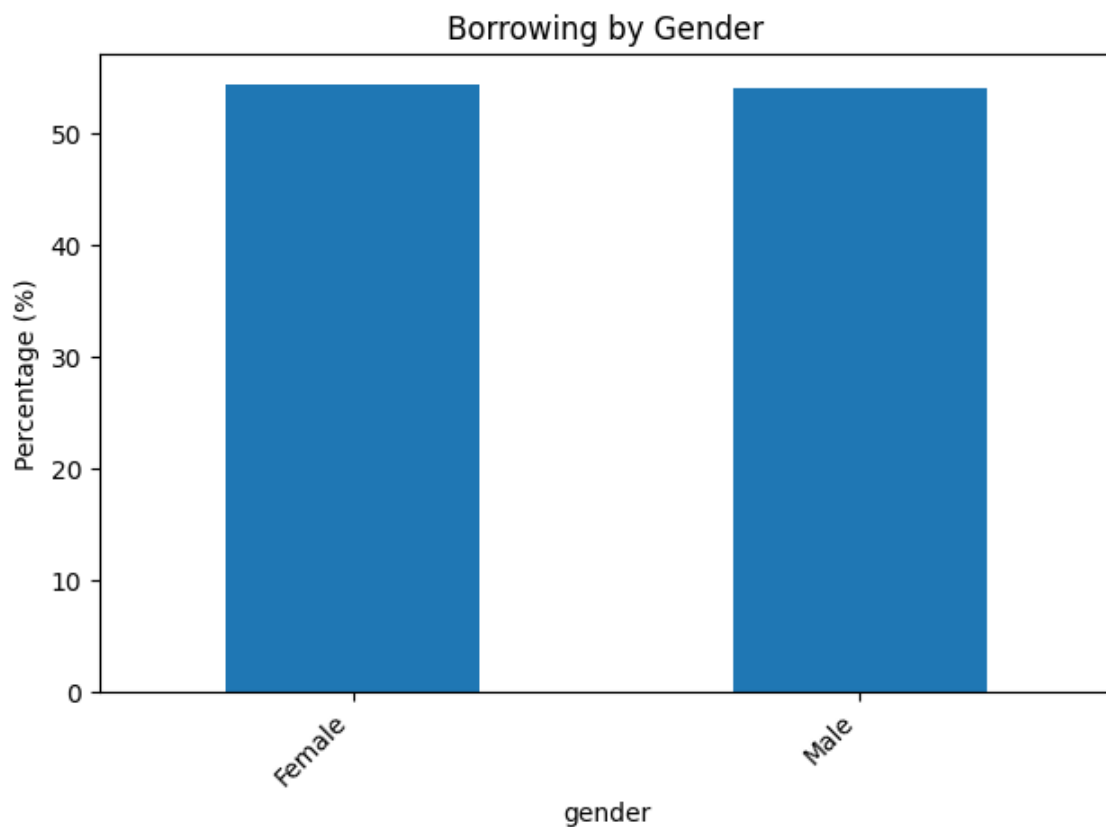
Age: The "Mid-Life" Borrowing Peak



Borrowing follows an "inverted U" pattern related to the life cycle.

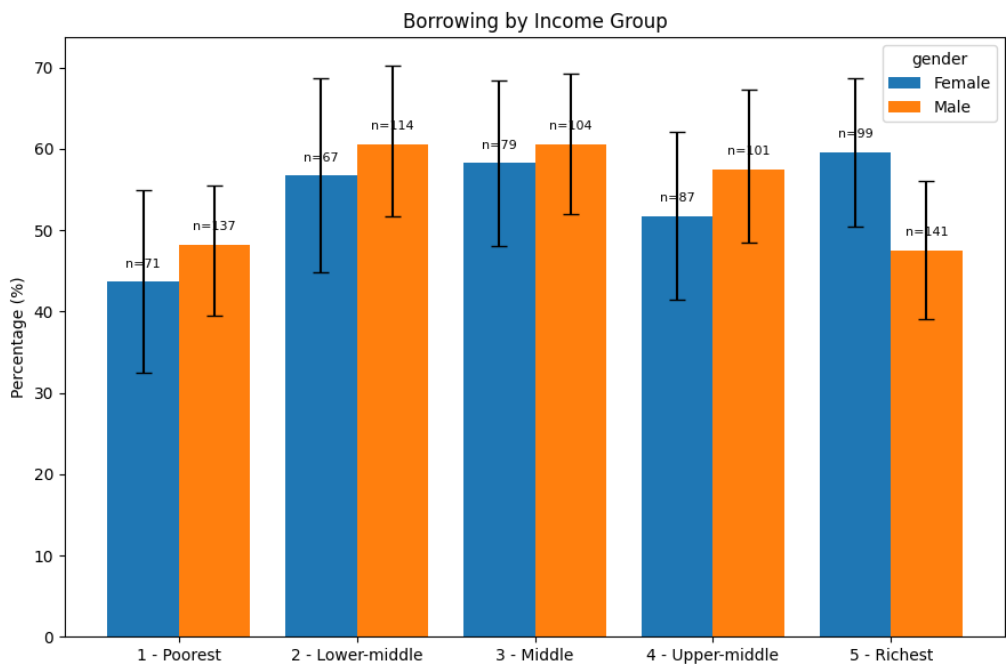
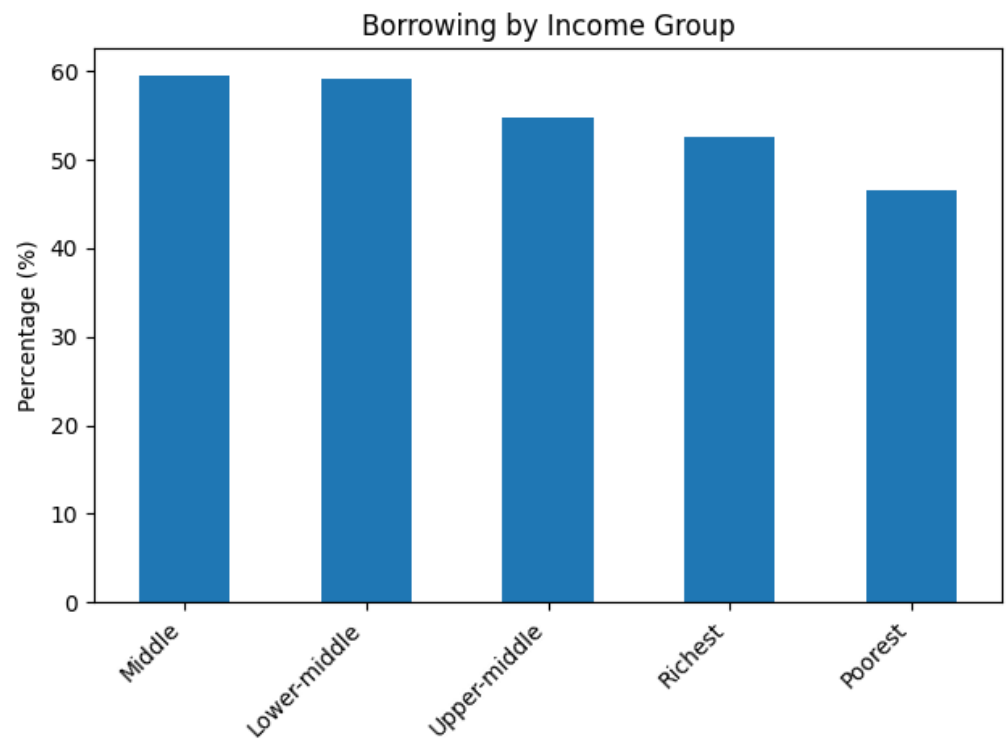
- **Peak Borrowers:** The **35–44 age group** has the highest borrowing rate (approx. 75%), followed closely by the 45–54 group. This correlates with peak life stages for business investment and family expansion.
- **Lowest Borrowers:** The **65+ group** borrows the least (under 30%), likely due to reduced income and a shift toward drawing down savings rather than taking on debt.

Gender: Parity in Access



The data shows almost **identical borrowing rates between men and women** (approx. 54-55%). This suggests that gender-based barriers to credit entry are low in this market.

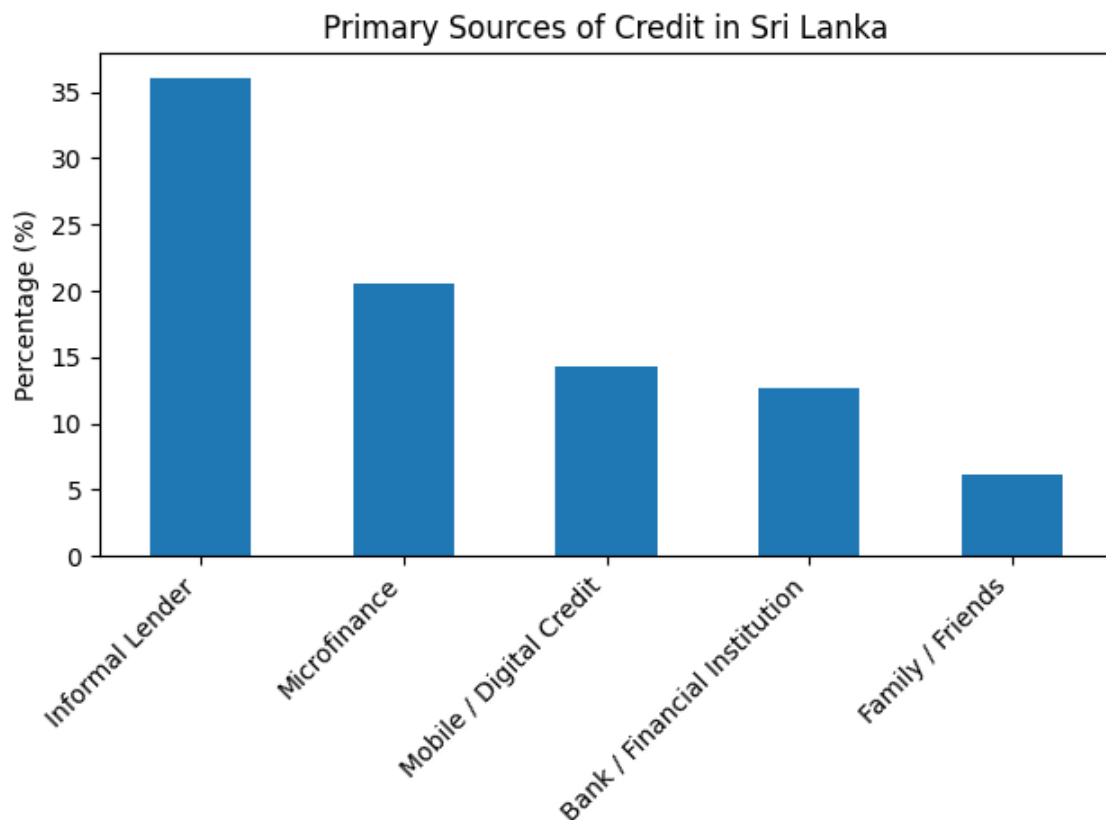
Income: The "Middle-Class" Debt Trap



Interestingly, the highest borrowing rates are found in the **Middle and Lower-Middle** income quintiles, not the poorest.

- **The Poorest:** Borrow significantly less (approx. 46%), possibly due to a lack of collateral or lower creditworthiness in the eyes of lenders.
- **Advanced Insight:** When looking at borrow_income_advanced.png, we see that in the **Richest** quintile, women actually borrow more than men, whereas, in the **Middle** quintile, men take the lead.

3. Credit Sources: The Informal Dominance

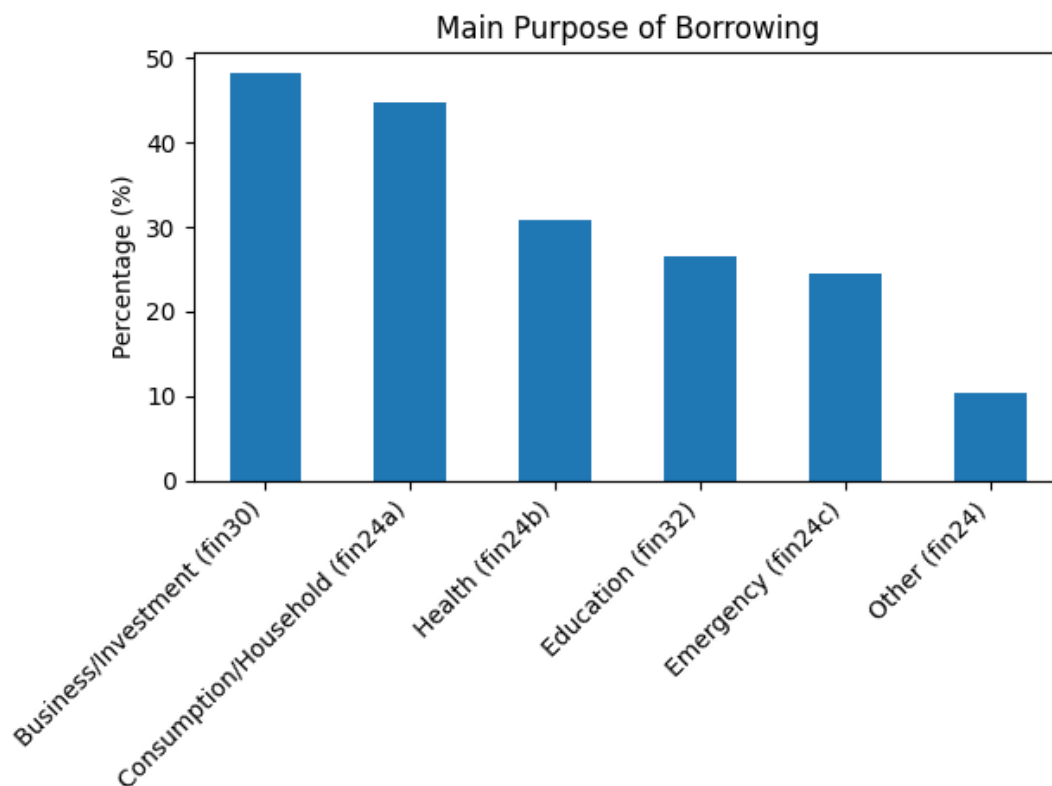


The reliance on informal financial structures is the most striking feature of this report.

Source	Prevalence (%)
Informal Lender	36.1%
Microfinance	20.6%
Mobile / Digital Credit	14.3%
Bank / Financial Institution	12.7%
Family / Friends	6.1%

Key Finding: Formal banks are the second least-used source. The high prevalence of **Informal Lenders** and **Microfinance** suggests a preference (or necessity) for quick, high-accessibility credit over the bureaucratic requirements of traditional banks.

4. Purpose of Borrowing



The motivation for debt is primarily productive rather than purely consumerist.

- **Primary Driver: Business/Investment (48.2%)** is the top reason for borrowing. This indicates a high level of entrepreneurial activity or a need for capital to sustain livelihoods.
- **Secondary Driver: Consumption/Household (44.8%)** is a close second, highlighting a reliance on credit for day-to-day living expenses.
- **Health and Education:** Health-related debt (30.9%) is significantly higher than education-related debt (26.5%), pointing to the financial burden of medical emergencies.

5. Strategic Observations

1. **Digital Opportunity:** With **14.3%** already using **Mobile/Digital Credit**, there is a clear appetite for fintech. This sector currently outpaces traditional banking.
2. **Informal Risk:** The heavy reliance on informal lenders (36%) suggests that a large portion of the population may be exposed to high interest rates and lack of consumer protection.
3. **Investment Focus:** Since nearly half of all loans are for business/investment, credit products tailored specifically for micro-entrepreneurs could see high adoption.